

You are a financial analyst and are looking at the company with the following information for the past 5 years.

Perform a trend analysis and present your observations

BALANCE SHEET

ITEM	YEAR			
<u>Assets</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Current Assets				
Cash	\$40,000	\$40,000	\$40,000	\$40,000
Inventory	\$40,000	\$34,000	\$32,000	\$45,000
Accounts Receivable	\$75,583	\$69,984	\$64,800	\$60,000
Fixed Assets				
Property	\$144,000	\$146,000	\$148,000	\$150,000
Others	\$39,998	\$39,999	\$40,000	\$35,000
Total	\$339,581	\$329,983	\$324,800	\$330,000

Liabilities				
Current Liabilities				
Accounts Payable	\$75,000	\$60,000	\$52,000	\$43,000
Short Term Loans	\$20,000	\$32,000	\$27,000	\$25,000
Long Term Liabilities	\$50,000	\$50,000	\$50,000	\$50,000
Capital and Retained Earnings	\$194,581	\$187,983	\$195,800	\$212,000
Total	\$339,581	\$329,983	\$324,800	\$330,000

**INCOME
STATEMENT**

ITEM	YEAR			
	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Sales	\$239,580	\$217,800	\$198,000	\$180,000
Cost of Goods Sold	\$98,398	\$93,713	\$89,250	\$85,000
Gross Profit	\$141,182	\$124,088	\$108,750	\$95,000
Selling and Distribution Expenses	\$20,000	\$20,000	\$20,000	\$20,000
Earning Before Interest and Tax (EBITDA)	\$121,182	\$104,088	\$88,750	\$75,000
Depreciation	\$3,000	\$3,000	\$3,000	\$3,000
Earning Before Interest and Tax (EBIT)	\$118,182	\$101,088	\$85,750	\$72,000
Interest	\$4,997	\$4,998	\$4,999	\$5,000
Earning Before Tax	\$113,185	\$96,090	\$80,751	\$67,000
Taxes	\$22,637	\$19,218	\$16,150	\$13,400
Net Income	\$90,548	\$76,872	\$64,601	\$53,600

ITEM	YEAR						
	<u>2021</u>	<u>YoY Growth</u>	<u>2020</u>	<u>YoY Growth</u>	<u>2019</u>	<u>YoY Growth</u>	<u>2018</u>
Assets							
Current Assets							
Cash	\$40,000	0.00%	\$40,000	0.00%	\$40,000	0.00%	\$40,000
Inventory	\$40,000	17.65%	\$34,000	6.25%	\$32,000	-28.89%	\$45,000

Accounts Receivable	\$75,583	8.00%	\$69,984	8.00%	\$64,800	8.00%	\$60,000
Fixed Assets							
Property	\$144,000	-1.37%	\$146,000	-1.35%	\$148,000	-1.33%	\$150,000
Others	\$39,998	0.00%	\$39,999	0.00%	\$40,000	14.29%	\$35,000
Total	\$339,581	2.91%	\$329,983	1.60%	\$324,800	-1.58%	\$330,000
Liabilities							
Current Liabilities							
Accounts Payable	\$75,000	25.00%	\$60,000	15.38%	\$52,000	20.93%	\$43,000
Short Term Loans	\$20,000	-37.50%	\$32,000	18.52%	\$27,000	8.00%	\$25,000
Long Term Liabilities	\$50,000	0.00%	\$50,000	0.00%	\$50,000	0.00%	\$50,000
Capital and Retained Earnings	\$194,581	3.51%	\$187,983	-3.99%	\$195,800	-7.64%	\$212,000
Total	\$339,581	2.91%	\$329,983	1.60%	\$324,800	-1.58%	\$330,000

ITEM	YEAR						
	<u>2021</u>	<u>YoY Growth</u>	<u>2020</u>	<u>YoY Growth</u>	<u>2019</u>	<u>YoY Growth</u>	<u>2018</u>
Sales	\$239,580	10.00%	\$217,800	10.00%	\$198,000	10.00%	\$180,000
Cost of Goods Sold	\$98,398	5.00%	\$93,713	5.00%	\$89,250	5.00%	\$85,000
Gross Profit	\$141,182	13.78%	\$124,088	14.10%	\$108,750	14.47%	\$95,000
Selling and Distribution Expenses	\$20,000	0.00%	\$20,000	0.00%	\$20,000	0.00%	\$20,000
Earning Before Interest and Tax (EBITDA)	\$121,182	16.42%	\$104,088	17.28%	\$88,750	18.33%	\$75,000
Depreciation	\$3,000	0.00%	\$3,000	0.00%	\$3,000	0.00%	\$3,000

Earning Before Interest and Tax (EBIT)	\$118,182	16.91%	\$101,088	17.89%	\$85,750	19.10%	\$72,000
Interest	\$4,997	-0.02%	\$4,998	-0.02%	\$4,999	-0.02%	\$5,000
Earning Before Tax	\$113,185	17.79%	\$96,090	18.99%	\$80,751	20.52%	\$67,000
Taxes	\$22,637	17.79%	\$19,218	18.99%	\$16,150	20.52%	\$13,400
Net Income	\$90,548	17.79%	\$76,872	18.99%	\$64,601	20.52%	\$53,600

ITEM	YEAR						
<u>Ratios</u>	<u>2021</u>	<u>YoY Growth</u>	<u>2020</u>	<u>YoY Growth</u>	<u>2019</u>	<u>YoY Growth</u>	<u>2018</u>
<i>Liquidity Ratios</i>							
Current Ratio	1.64	4.64%	1.57	-9.62%	1.73	-18.79%	2.13
Acid Ratio	1.22	1.77%	1.20	-9.88%	1.33	-9.79%	1.47
<i>Efficiency Ratios</i>							
Asset Turnover	0.72	7.57%	0.67	10.00%	0.60	10.87%	0.55
Inventory Turnover	6.48	-1.89%	6.60	28.33%	5.14	28.57%	4.00
Payables Turnover	0.73	-12.89%	0.84	-10.94%	0.94	-4.95%	0.99
Receivables Turnover	3.29	1.85%	3.23	1.85%	3.17	5.77%	3.00
*Assume 50% of COGS are purchases							
<i>Leverage Ratios</i>							
Debt to Equity Ratio	0.75	-1.35%	0.76	14.65%	0.66	18.37%	0.56
Debt to Assets Ratio	0.43	-0.77%	0.43	8.35%	0.40	11.07%	0.36
<i>Profitability Ratios</i>							

Operating Margin	0.49	6.28%	0.46	7.17%	0.43	8.27%	0.40
Net Profit Margin	0.38	7.08%	0.35	8.18%	0.33	9.57%	0.30